

ECONOMICS PAPER 1

(Mock Test 27)

Time allowed: 40 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 30 questions in this paper. Choose the **BEST** answer for each question.

1. Karen considers teaching drawing in a gallery or taking a fine art programme in a university in France. Which of the following would increase Karen's cost of taking a fine art programme in France?
 - A. The gallery closes down.
 - B. The gallery raises the salaries of all teachers.
 - C. The teaching quality of the fine art programme is not as good as Karen expected.
 - D. The climate in France is pleasant and Karen enjoys living in France.

2. If a good is scarce,
 - A. the quantity of the good is not sufficient to satisfy all people's wants.
 - B. there is a shortage of the good.
 - C. everyone in the world wants to obtain the good.
 - D. the good will not be free of charge.

3. To restaurant owners, the free drinking water provided to customers is a _____.
 - (1) free good
 - (2) producer good
 - (3) consumer good
 - (4) private good
 - A. (2) only
 - B. (1) and (2) only
 - C. (2) and (4) only
 - D. (3) and (4) only

4. Mr. Li owns a residential unit and lives with his family. He has the right to
 - (1) hold a birthday party for his son in the unit.
 - (2) rent out the room of his son for income.
 - (3) refuse the teacher of his son to enter his unit.
 - A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

5. After changing the firm's form of business ownership, firm A would have an independent legal status while the firm's financial status can still be kept confidential. We can conclude that firm A may have changed from a _____ to a _____.
 - A. partnership ... private limited company
 - B. partnership ... sole proprietorship
 - C. sole proprietorship ... partnership
 - D. private limited company ... public limited company

6. Which of the following is a possible reason for a firm to choose to be a private limited company instead of a public limited company?
- The risk of being taken over will be lower.
 - The firm will earn a higher rate of return.
 - The firm can issue shares and bonds.
 - The firm pays a lower profits tax rate.
7. There are metered parking spaces in many places in Hong Kong. Drivers can park their cars in the metered parking spaces after paying fees. Which of the following statements about these parking spaces is **CORRECT**?
- These parking spaces are allocated on a first-come-first-served basis, so they are public goods.
 - These parking spaces are rival in consumption, so they are private goods.
 - Anyone can pay to use these parking spaces, so they are consumer goods.
 - People need to pay to use these parking spaces, so they are economic goods.
8. Mr. Wong is the owner of a renovation company. The company employs many workers for different stages of a renovation project, including painters, plumbers and water and electrical technicians. Mr. Wong is responsible for contacting customers. Which of the following statements are **CORRECT**?
- Mr. Wong is an entrepreneurship and his workers are labour.
 - Mr. Wong's company adopts complex division of labour.
 - The workers do not need to learn every task involved in a project, thus training time can be reduced.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)
9. Which of the following would reduce the occupational mobility of labour in an economy?
- The government tightens the quota for importing foreign workers.
 - The government establishes more licensing systems to regulate practitioners of different industries.
 - The railway network of the economy becomes more comprehensive.
 - The government offers a wider variety of training programmes.
10. Jimmy is a hairstylist. He earns a salary of \$20,000 a month. In addition, he can earn a commission of \$200 for being the designated hairstylist.

From the viewpoint of Jimmy, which of the following is an advantage of the above arrangement over receiving a monthly salary only?

- It is possible for Jimmy to earn a higher income.
 - Jimmy can earn a more stable income.
 - The cost of monitoring Jimmy's service quality is lower.
- (1) only
 - (2) only
 - (1) and (3) only
 - (2) and (3) only

11. The following table shows the input-output relationship of a firm. The only inputs required are machines and labour.

Machines (units)	Labour (units)	Average product (units)
5	5	100
5	6	110
5	7	120
5	8	125

Which of the following statements about the above firm are **CORRECT**?

- (1) The firm is operating in the short run.
- (2) The law of diminishing marginal returns applies.
- (3) The firm enjoys economies of scale.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

12. Study the following information about the opening hours of a beauty salon.

Weekdays: 14:00 – 21:00
Weekends and public holidays: 11:00 – 21:00

Which of the following are the variable cost(s) involved in the extra hours of operation for the beauty salon on weekends and public holidays?

- (1) expenses on purchasing disposable gloves
- (2) the rental of the premises
- (3) expenses on air conditioning
- (4) the salary paid to the accounting staff

- A. (1) and (3) only
- B. (2) and (4) only
- C. (1), (3) and (4) only
- D. (2), (3) and (4) only

13. The following is the market share of property developers in a country.

	Market share
Hang's Property	55%
Giant Real Estate	29%
Capital Property	11%
Others	5%

Suppose Giant Real Estate has acquired Capital Property. Which of the following is the **LEAST** likely motive behind the acquisition?

- A. to reduce competition
- B. to spread risk by business diversification
- C. to build up goodwill of the company
- D. to enjoy economies of scale

14. The table below shows the cost-output relationship of a firm.

Output (units)	Average cost (\$)
1	15
2	16
3	17
4	18
5	19

Based on the above table, we can conclude that when the market price decreases from \$21 to \$19,

- (1) the firm will enjoy economies of scale.
- (2) the profit of the firm will decrease by \$6.
- (3) the total cost of the firm will decrease from \$72 to \$51.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

15. Which of the following is **INCONSISTENT** with the law of demand?

- A. When the fine for littering increases, fewer people litter.
- B. When people visiting Hong Kong need to quarantine, their average number of stay days after quarantine increases.
- C. When the government increases the per-unit tax on tobacco products, the quantity of high-quality tobacco products sold decreases.
- D. When the cost of transporting fruits from South Korea to Hong Kong increases, the average quality of fruits imported from South Korea decreases.

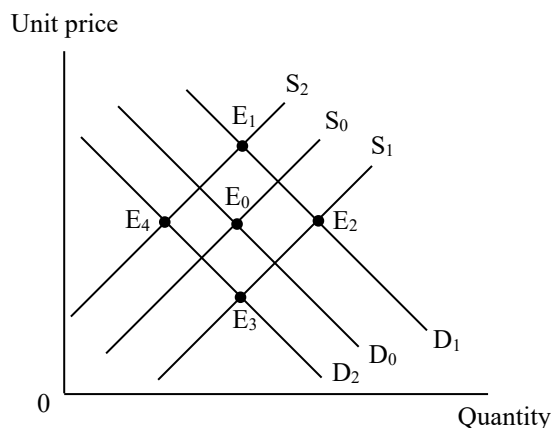
16. A courier company adjusts its fare as follows:

	Existing fare	Adjusted fare
First 1kg	\$20	\$25
Every subsequent 0.5kg	\$6	\$6

Which of the following statements is **CORRECT** after the adjustment of the fare?

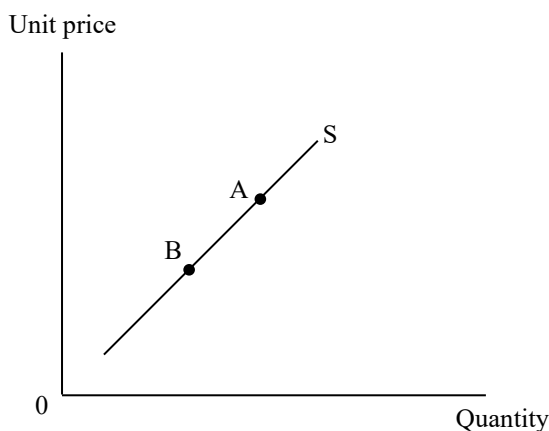
- A. Total expenditure of sender will increase.
- B. Demand for the service of the courier company will decrease.
- C. Orders of the courier company will increase.
- D. The average weight of each parcel will increase.

17. Refer to the following demand-supply diagram of infant formula milk powder. The initial equilibrium point is E_0 .



Suppose the birth rate decreases and, at the same time, more manufacturers enter the infant formula milk powder market. The new equilibrium point will be at _____.

- A. E_1
 - B. E_2
 - C. E_3
 - D. E_4
18. S is the supply curve for laptop computers. Which of the following reasons can best explain the change of the equilibrium position in the laptop computer market from A to B ?



- A. The price of raw materials of producing laptop computers decreases.
 - B. Several laptop computer manufacturers close down.
 - C. Laptop computer retailers offer interest-free instalment plans for customers.
 - D. The price of tablet computers decreases.
19. To encourage the public to exercise more, the government has built cycling tracks in many districts. More people have taken up cycling since then. As a result, the price of bicycles has increased by 10% and the quantity transacted has increased by 50%. Which of the following statements is **CORRECT**?
- A. The demand for bicycles is elastic.
 - B. The demand for bicycles is inelastic.
 - C. The supply of bicycles is elastic.
 - D. The supply of bicycles is inelastic.

20. Refer to the following supply and demand schedules for good X.

Unit price (\$)	10	12	14	16	18	20
Quantity demanded (units)	14	13	12	11	10	9
Quantity supplied (units)	8	9	10	11	12	13

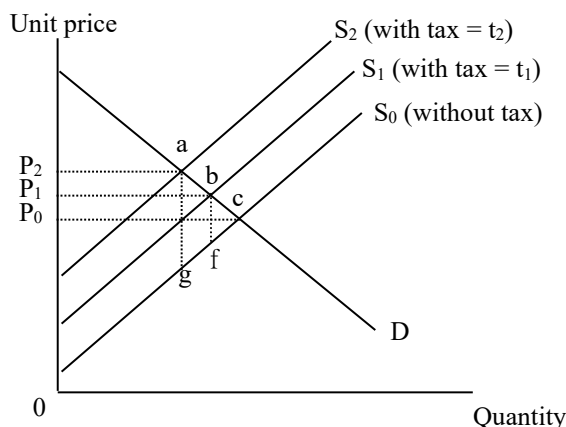
Suppose the government imposes a per-unit tax of \$4 on good X. Based on the above table,

- A. consumers will bear a larger tax burden than producers.
 - B. consumers' total expenditure will decrease by \$4.
 - C. producers' total revenue net of tax will decrease by \$36.
 - D. the total government tax revenue will be \$44.
21. Which of the following statements about monopoly is **CORRECT**?
- A. A monopolist must earn a positive profit.
 - B. A firm needs to obtain government authorisation to become a monopolist.
 - C. The goods supplied by a monopolist are necessities.
 - D. A monopolist can adjust its price freely without losing all customers.
22. Which of the following markets is the closest example of an oligopoly in Hong Kong?
- A. water supply
 - B. hotel accommodation service
 - C. property agency
 - D. hairdressing service
23. In recent years, the demand for high-quality fruits has increased. It has prompted many firms to import high-quality fruits from all over the world for sale in Hong Kong.

The above case illustrates the _____ function of price because _____.

- A. allocative ... more resources are allocated to import high-quality fruits
- B. allocative ... high-quality fruits will be distributed to users with the highest value
- C. rationing ... more people are willing to sell high-quality fruits
- D. rationing ... the demand for high-quality fruits increases

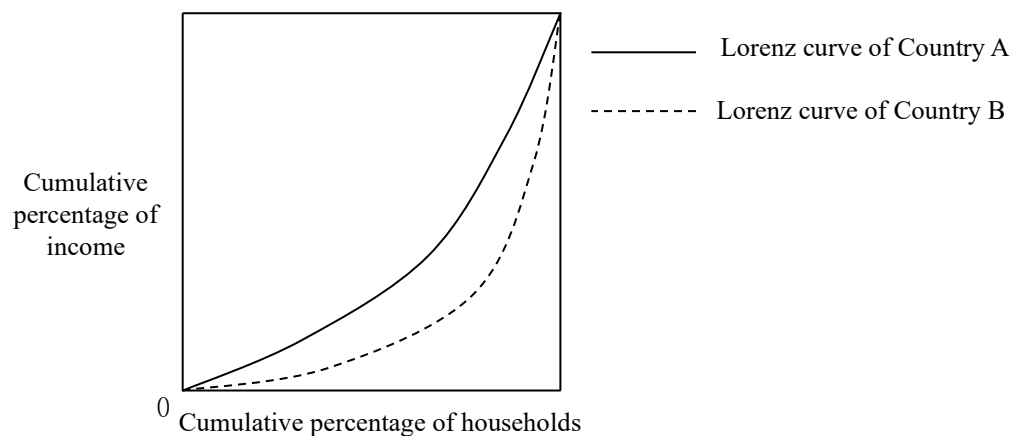
24. The following diagram shows the demand and supply curves of a good.



Suppose the government lowers the tax on the good from t_2 to t_1 . Which of the following statements is **CORRECT**?

- A. The consumer surplus will increase by area acP_0P_2 .
 - B. The producer surplus will increase by area bcP_0P_1 .
 - C. The new deadweight loss will be area acg .
 - D. The deadweight loss will decrease by area $abfg$.
25. The supply of organic grapes is perfectly inelastic. Suppose the government imposes an effective price ceiling on organic grapes. Which of the following statements is **CORRECT**?
- A. Consumers' total expenditure on organic grapes will remain unchanged.
 - B. The quantity transacted of organic grapes will decrease.
 - C. There will be a surplus in the organic grape market.
 - D. The producer surplus in the organic grape market will decrease.
26. Suppose the government has decided to provide a per-unit subsidy to local hotels and, at the same time, staying in local hotels for vacation has become popular since the Outbound Travel Alert on all overseas territories was issued. If the supply is not perfectly inelastic, which of the following statements about the local hotel market is **CORRECT**?
- A. Consumers' total expenditure on local hotel room rentals will increase.
 - B. The market price of local hotel rooms will decrease.
 - C. The deadweight loss will increase.
 - D. The producer surplus will decrease.
27. Country A has imposed an effective quota on paper. Suppose electronic leaflets and bills are now more commonly used to reduce the use of paper. Which of the following statements about the paper market are **CORRECT**?
- (1) The quota may become ineffective.
 - (2) The producer surplus will decrease.
 - (3) The deadweight loss will decrease.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

28. Mr. Cheung's son often plays ball at home. Miss Li, who lives in the apartment below Mr. Cheung's, often complains to him that the noise of his son playing ball is very annoying. Which of the following statements is **CORRECT**?
- If Mr. Cheung needs to compensate Miss Li for the noise, there will be no divergence between private and social costs.
 - If Mr. Cheung needs to compensate Miss Li for the noise, the noise generated from Mr. Cheung's home will be reduced.
 - If Miss Li receives compensation from Mr. Cheung, she will not complain about the noise any more.
 - Economic efficiency can be achieved only when the government intervenes and asks Mr. Cheung to compensate Miss Li.
29. Study the following Lorenz curves of Country A and Country B.



- Which of the following statements about Country A and Country B is **CORRECT**?
- The income distribution of Country A is less even than that of Country B.
 - The high-income group in Country A is richer than that in Country B.
 - The income gap of Country B is wider than that of Country A.
 - The Gini coefficient of Country B is smaller than that of Country A.
30. Suppose an economy's Gini coefficient based on post-tax post-social transfer monthly household income is lower than the Gini coefficient based on original monthly household income. We can conclude that
- the living quality of low-income households has improved.
 - the taxes and welfare transfers can help reduce income inequality.
 - the amount of welfare transfers given by the government to low-income households is not sufficient.
 - the tax system of the economy is likely to be regressive.

END OF PAPER